

Marketing Analytics - MBA 565

Portland Trail Blazers Group Case Assignment

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Introduction

The Portland Trail Blazers are a professional basketball team and a major sports franchise in the National Basketball Association (NBA). By 2005, the organization was facing a significant crisis both on and off the court. The team's performance was declining, culminating in a 22-36 record and the firing of their head coach. Compounding these on-court issues, the team's home arena, the Rose Garden, filed for Chapter 11 bankruptcy and was taken over by creditors. The franchise experienced a severe downturn in fan support, with attendance falling over 15% since 2003, a drastic drop in luxury suite renewals, and plummeting television ratings. Historically, the Trail Blazers enjoyed a strong, positive relationship with the city of Portland, but this bond had deteriorated due to a series of widely publicized player transgressions, leading to a tenfold increase in negative public perception since 2000.

Problem Statement

The core problem is the organization's urgent need to reverse declining ticket revenue and rebuild its damaged relationship with fans. While multi-game ticket packages have been identified as a potential tool to address this, the specific challenge is to design these packages in a way that maximizes their appeal to fans based on key attributes like price, seat location, and promotions, while simultaneously ensuring the packages are profitable for the team and adhere to the arena's strict pricing and cost constraints. Management must determine the optimal combination of features to create a package that fans will prefer and purchase.

Analysis

The conjoint analysis reveals that fan preferences are primarily driven by seat location (39.48% importance) and ticket price (37.58% importance), which together account for over 75% of the decision-making, as detailed in Exhibit 1. The number of games (11.78%) and the type of promotional item (11.15%) are secondary, but still notable factors. This data provides a clear path for the Blazers, indicating that resource allocation and marketing messaging should focus primarily on offering desirable seating at accessible price points. However, this fan preference directly conflicts with the organization's cost structure, as the most desired attribute - 200-level midcourt seats carry the highest fixed cost of \$40. The analysis proves this creates a fundamental tension; the package with the highest total utility (Package 2 in Exhibit 2), is also the most financially disastrous, generating a loss of \$30.00 per package sold. This illustrates the core challenge: blindly giving fans what they prefer most based on utility scores alone leads to significant financial losses.

Navigating this trade-off requires a disciplined portfolio approach to package design that prioritizes profitability. The profitability analysis in Exhibit 3 identifies a clear winner in Package 5, which delivers the highest total profit of \$118.50 while maintaining a positive utility score. This package succeeds by pairing a premium price point with a lower-cost seating section (300-level corners), strategically avoiding the financial trap of the 200-level. To cater to different market segments without sacrificing margins, a multi-package strategy is optimal. This includes

a balanced, lower-priced option like Package 1 for price-sensitive fans, which still generates a positive profit. Ultimately, the data dictates that profitability is maximized by steering demand toward the 300-level sections and leveraging low-cost, high-utility promotions like food items, which offer the best utility-to-cost ratio in the portfolio.

Recommendations to Blazer's Management team

Based on our conjoint and profitability analysis, we recommend the Portland Trail Blazers implement a disciplined, multi-package strategy to stabilize revenue and rebuild fan engagement. The primary objective must be to balance strong fan appeal with firm financial viability, moving away from any offerings that result in a loss.

First, the organization should launch a 6-game package priced at \$35 per seat, featuring 300-level corner seats and including a hot dog and soda with each ticket. This package is the optimal solution, delivering the highest estimated total profit of \$118.50 per package sold while maintaining a positive fan utility score. It should be positioned as the flagship offering in all marketing and sales initiatives.

To capture a broader audience and provide an entry point for more price-sensitive fans, a secondary 6-game package at \$25 per seat should be offered, featuring 300-level midcourt seats and the same food promotion. This package generates a solid profit of \$22.50 and boasts a high utility score, making it a valuable tool for driving volume and filling the arena.

Critically, management must enforce strict financial guardrails. Packages that include 200-level midcourt seats must not be priced below \$60, as our analysis proves these combinations are financially unsustainable. Specifically, the 6-game, \$35, 200-level midcourt package must be avoided entirely, as it loses \$30 per sale despite its high utility. By focusing exclusively on profitable 300-level seat combinations and leveraging the high-utility, low-cost food promotion, the Trail Blazers can create a sustainable ticket strategy that serves both the bottom line and the fanbase.

Exhibits

Utilizing the conjoint information, in addition to the other data available from the survey, the Blazer's Management team felt prepared to design the multigame package it believed the fans would most prefer.

Exhibit 1: Attribute Importance.

What attributes were most important to the fans?

Attribute Importance Percentages			
Obs	Attribute	Utility_Range	Importance_Pct
1	Games	0.52023	11.78
2	Location	1.74317	39.49
3	Price	1.65903	37.58
4	Promotio	0.49214	11.15

Based on the importance percentages:

- Location: 39.48% (MOST important)
- Price: 37.58% (2nd most important)
- Games: 11.78% (3rd)
- Promotion: 11.15% (LEAST important)

Answer: Seat location and price are more important to fans than the number of games or promotional items.

Exhibit 2: Package utility vs. Profitability

What should the Blazers' multigame package include?

Packages Ranked by Total Utility							
Obs	Package	Games	Price	Location	Promotion	total_utility	total_profit
1	Package2	6-game	\$35	200_midcourt	playoff	1.50642	-30.00
2	Package3	3-game	\$15	300_midcourt	food	1.02067	-18.75
3	Package1	6-game	\$25	300_midcourt	food	0.79558	22.50
4	Package5	6-game	\$35	300_corner	food	0.10695	118.50
5	Package4	10-game	\$60	200_midcourt	apparel	-0.26591	80.00

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Key analysis from results:

- Package5 has the highest profit (\$118.50) with good utility
- Package2 has the highest utility (1.506) but loses \$30.00
- Package1 balances good utility (0.796) with profit (\$22.50)

Recommended Package:

- 6-game package
- \$35 price point
- 300-level corner seats (Package5 - most profitable)
- Food promotion

Should there be more than one package?

Yes,

1. Most Profitable: 6-game, \$35, 300-corner, food → \$118.50 profit
2. Alternative: 6-game, \$25, 300-midcourt, food → \$22.50 profit, good utility

Exhibit 3: Package Profitability Ranking table

How profitable would each package be?

Package Profitability Analysis									
Obs	Package	Games	Price	Location	Promotion	total_utility	profit_per_game	total_profit	constraint_violation
1	Package1	6-game	\$25	300_midcourt	food	0.79558	3.75	22.50	0
2	Package2	6-game	\$35	200_midcourt	playoff	1.50642	-5.00	-30.00	1
3	Package3	3-game	\$15	300_midcourt	food	1.02067	-6.25	-18.75	1
4	Package4	10-game	\$60	200_midcourt	apparel	-0.26591	8.00	80.00	0
5	Package5	6-game	\$35	300_corner	food	0.10695	19.75	118.50	0

Profit Ranking:

- Package5: \$118.50 profit (6-game, \$35, 300-corner, food)
- Package4: \$80.00 profit (10-game, \$60, 200-midcourt, apparel)
- Package1: \$22.50 profit (6-game, \$25, 300-midcourt, food)
- Package3: -\$18.75 loss (3-game, \$15, 300-midcourt, food)
- Package2: -\$30.00 loss (6-game, \$35, 200-midcourt, playoff)

Key Strategic Recommendations to Blazer's Management team;

1. Avoid Package2 and Package3 - they lose money despite high utility
2. Focus on Package5 - most profitable with acceptable utility
3. Consider Package1 as a lower-priced alternative
4. 200-level seats are problematic - only work at \$60+ price points
5. Food promotion works best - appears in all profitable packages

Offer Package5 as the primary option (6-game, \$35, 300-corner, food) - it delivers strong profitability while maintaining decent fan appeal. Consider Package1 as a value alternative. Avoid money-losing packages even if they have high utility scores.